

Module 11

Financial Reporting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)**Answer 1(a)**

Balance of goodwill as at 31 December 2023
= HK\$1,350 million (W2) – HK\$720 million (W3)
= HK\$630 million

Balance of non-controlling interests as at 31 December 2023
= HK\$1,450 million (CJ1) – HK\$200 million (CJ2B) + HK\$222 million (CJ3) + HK\$120 million (CJ4)
– HK\$90 million (CJ4)
= HK\$1,502 million

CJ1: Pre-acquisition elimination entries	<u>HK\$ million</u>	<u>HK\$ million</u>
Dr. Share capital	6,500	
Dr. Retained earnings	5,200	
Dr. Revaluation reserve	300	
Dr. Property, plant and equipment (net)	2,500	
Dr. Goodwill (W2)	1,350	
Cr. Investment		14,400
Cr. Non-controlling interests (B/S) (HK\$14,500 million (W1) x 10%)		1,450
(W1): Fair value of net identifiable assets		<u>HK\$ million</u>
Share capital		6,500
Retained earnings		5,200
Revaluation reserve		300
Fair value adjustments – Machinery items		2,500
Fair value of net identifiable assets		<u>14,500</u>
(W2): Goodwill		<u>HK\$ million</u>
Consideration		14,400
Non-controlling interests		1,450
		<u>15,850</u>
Less: Fair value of net identifiable assets (W1)		<u>(14,500)</u>
Goodwill		<u>1,350</u>

CJ2A: Extra depreciation expense arising from fair value difference	<u>HK\$ million</u>	<u>HK\$ million</u>
Dr. Retained earnings (<i>HK\$2,500 million ÷ 10 × 8</i>)	2,000	
Cr. Accumulated depreciation – machinery		2,000
CJ2B: Share to non-controlling interests		
Dr. Non-controlling interests (B/S) (<i>HK\$2,000 million × 10%</i>)	200	
Cr. Retained earnings		200

CJ3: Share of profits to non-controlling interests	<u>HK\$ million</u>	<u>HK\$ million</u>
Dr. Retained earnings	222	
Cr. Non-controlling interests (B/S) (<i>[(HK\$7,420 million – HK\$5,200 million) × 10%]</i>)		222

CJ4: Share of other comprehensive income to non-controlling interests	<u>HK\$ million</u>	<u>HK\$ million</u>
Dr. Non-controlling interests (B/S) (<i>[(HK\$900) × 10%]</i>)	90	
Cr. Fair value reserve		90
Dr. Revaluation reserve	120	
Cr. Non-controlling interests (B/S) (<i>[(HK\$1,500 million – HK\$300 million) × 10%]</i>)		120

CJ5: Goodwill impairment	<u>HK\$ million</u>	<u>HK\$ million</u>
Dr. Retained earnings	720	
Cr. Goodwill (W3)		720

(W3): Goodwill impairment

(in HK\$ million)	Goodwill	Net identifiable assets	Total
Carrying amount	1,350	12,470	13,820
Unrecognised grossing-up goodwill attributable to the non-controlling interests (<i>HK\$1,350 million ÷ 90% × 10%</i>)	150	-	150
Adjusted carrying amount	1,500	12,470	13,970
Recoverable amount			13,170
Impairment loss			800
Allocation of impairment loss:			
- Goodwill	800	Nil	
Impairment loss recognised			
- Goodwill	720		720
(<i>HK\$800 million × 90%</i>)			
Impact to non-controlling interests	Nil		
Carrying amount after impairment (<i>HK\$1,350 million – HK\$720 million</i>)	630		

Answer 1(b)

General principles

HKFRS 10 *Consolidated Financial Statements* requires a parent losing control of a subsidiary to:

- derecognise the assets (including any goodwill) and liabilities of the former subsidiary from the consolidated statement of financial position at their carrying amounts at the date when control is lost;
- derecognise the carrying amount of any non-controlling interests in the former subsidiary at the date when control is lost;
- recognise the fair value of the consideration received from the transaction that resulted in the loss of control;
- reclassify to profit or loss, or transfer directly to retained earnings, if required by other HKFRSs, the amounts recognised in other comprehensive income in relation to the subsidiary. In other words, the parent accounts for all amounts previously recognised in other comprehensive income in relation to that subsidiary on the same basis as would be required if the parent had directly disposed of the related assets or liabilities;
- recognise any resulting difference as a gain or loss associated with the loss of control attributable to the parent.

Calculations

	<u>HK\$ million</u>	<u>HK\$ million</u>
Consideration		14,000
Less: Fair value of the subsidiary		
Net assets	14,520	
Unamortised fair value difference – machinery [HK\$2,500 million – HK\$2,000 million (CJ2A)]	500	
Goodwill	630	
Less: Non-controlling interests (see Answer 1(a)(ii))	(1,502)	(14,148)
Reclassification adjustment in relation to fair value reserve (see explanation below)		(900)
Loss on disposal		<u>1,048</u>

Fair value reserve

HKFRS 9 *Financial Instruments* states that a gain or loss previously recognised in other comprehensive income in relation to an investment in debt instruments measured at fair value through other comprehensive income would be reclassified to profit or loss on the disposal of the related financial instruments. Following this principle, Argon should therefore have reclassified the gain or loss from equity to profit or loss (as a reclassification adjustment) when it lost control of Baron on 1 January 2024.

Revaluation reserve

HKAS 16 *Property, Plant and Equipment* states that a revaluation surplus previously recognised in other comprehensive income would be transferred directly to retained earnings on the disposal of the asset. Following this principle, such balance is not reclassifiable to profit or loss and Argon should have transferred the revaluation surplus directly to retained earnings when it lost control of Baron on 1 January 2024.

Cash flow impacts

Cash received to dispose Baron was included within the investing activities of the consolidated statement of cash flows, as follows:

	<u>HK\$ million</u>
Proceeds from disposal of subsidiary net of cash disposed (HK\$14,000 million – HK\$3,920 million)	10,080 inflow

Answer 1(c)

HKFRS 10 states that changes in a parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary are equity transaction (i.e. transactions with owners in their capacity as owners).

As disposing the ordinary shares of Carbon will not result in Argon losing control of Carbon, Argon should adjust the carrying amount of the controlling (i.e. Argon) and non-controlling interests to reflect the changes in their relative interests in Carbon. Argon should then recognise directly in equity any difference between:

- the amount by which the non-controlling interests are adjusted (in this case, the non-controlling interests balance in Carbon will increase); and
- the fair value of the consideration received.

Such difference will be attributable to the owners of the parent.

Argon would consolidate the results of Carbon throughout the year in the Group's consolidated financial statements.

In accordance with HKAS 7 *Statement of Cash Flows*, cash flows arising from changes in ownership interests in a subsidiary that do not result in a loss of control should be classified as cash flow from financing activities.

Answer 2(a)

Derecognition is the removal of all or part of a recognised asset from an entity's statement of financial position. Derecognition normally occurs when that item no longer meets the definition of an asset, which usually occurs when the entity loses control of all or part of the recognised asset.

Answer 2(b)(i)

As Transaction I qualifies as a sale in accordance with HKFRS 15 *Revenue from Contracts with Customers*, the control of Model AI has been transferred to Dubnium (i.e. the buyer-lessor), Argon (i.e. the seller-lessee) has sold only its interest in the value of Model AI at the end of the leaseback. In other words, Argon has retained its right to use Model AI for the duration of the leaseback. As it qualifies as a sale, Argon should derecognise Model AI from its statement of financial position, with a carrying amount of HK\$11,228,555, on 1 July 2024 and recognise the cash proceeds of HK\$12,028,555.

HKFRS 16 *Leases* explains that, in a sale and leaseback transaction, if the transfer of an asset by the seller-lessee qualifies as a sale of the asset, the seller-lessee should measure the right-of-use asset arising from the leaseback at the proportion of the previous carrying amount of the asset that relates to the right of use retained by the seller-lessee.

In this case, Argon should recognise a right-of-use asset on 1 July 2024 and measure it at the proportion of the previous carrying amount of Model AI that relates to the right of use retained by it which was HK\$4,491,422 ($HK\$11,228,555 \times 40\%$). Correspondingly, Argon should recognise a lease liability based on the present value of the expected payment of the leaseback, which was HK\$4,811,422 [$HK\$1,800,000 \div (1 + 6\%) + HK\$1,800,000 \div (1 + 6\%)^2 + HK\$1,800,000 \div (1 + 6\%)^3$].

Further, HKFRS 16 requires the seller-lessee to recognise only the amount of any gain (or loss) that relates to the rights transferred to the buyer-lessor. The amount of any gain (or loss) that relates to the rights retained by the seller-lessee will not be recognised.

In this case, the total gain on the sale of Model AI was HK\$800,000 ($HK\$12,028,555 - HK\$11,228,555$). Argon should only recognise a gain on rights transferred of HK\$480,000 [$HK\$800,000 \times (1 - 40\%)$] in profit or loss.

	<u>HK\$</u>	<u>HK\$</u>
Dr. Cash	12,028,555	
Dr. Right-of-use asset ($HK\$11,228,555 \times 40\%$)	4,491,422	
Cr. Machinery – Model AI (net)		11,228,555
Cr. Gain on rights transferred ($[HK\$12,028,555 - HK\$11,228,555] \times (1 - 40\%)$)		480,000
Cr. Lease liability ($HK\$1,800,000 \div (1 + 6\%) + HK\$1,800,000 \div (1 + 6\%)^2 + HK\$1,800,000 \div (1 + 6\%)^3$)		4,811,422

Answer 2(b)(ii)

HKFRS 9 *Financial Instruments* states that an entity should derecognise a financial asset when:

- the contractual rights to the cash flows from the financial asset expire; or
- it transfers the financial asset and the transfer qualifies for derecognition.

Transaction II fell into the second condition above and therefore the following analysis focusses on such.

The first issue here was to evaluate whether Transaction II was a "qualifying transfer". HKFRS 9 explains that an entity transfers a financial asset (and therefore is a "qualifying transfer") if it:

- transfers the contractual rights to receive the cash flows of the financial asset; or
- retains the contractual rights to receive the cash flows of the financial asset, but assumes a contractual obligation to pay the cash flows to one or more recipients in a "pass-through" arrangement.

In this case, the contractual rights to receive the cash flows of the Receivables have been legally transferred to Emerald Bank. The determination as to whether the contractual rights to cash flows have been transferred is not affected by Argon retaining the role of an agent to administer collection and distribution of cash flows. Argon did not need to assess whether Transaction II was a qualifying "pass-through" arrangement.

As Transaction II was a "qualifying transfer", the second issue was to evaluate the extent to which Argon retains the risks and rewards of ownership of the Receivables. HKFRS 9 explains that if an entity:

- transfers substantially all the risks and rewards of ownership of the financial asset, it should derecognise the financial asset;
- retains substantially all the risks and rewards of ownership of the financial asset, it should continue to recognise the financial asset.

The transfer of risks and rewards is evaluated by comparing the entity's exposure, before and after the transfer, with the variability in the amounts and timing of the net cash flows of the transferred asset. In such evaluation, risks and rewards that are reasonably expected to be significant in practice should be considered.

In this case, as the Receivables were relatively short-term, the most significant risk would be credit risks, that is, the risk that Fluorine would default.

The outcome of an evaluation of risks and rewards would depend on which party assumes the risk of reasonably possible credit losses. As Argon would compensate Emerald Bank for any loss if there would be a default by Fluorine, Argon retained substantially all the risks and rewards of ownership of the Receivables. In other words, Argon's exposure to the variability in the present value of the future net cash flows from the Receivables would not change significantly as a result of Transaction II.

The substance of Transaction II is that of a secured borrowing. In other words, the Receivables provide security for the cash advanced by Emerald Bank. Argon should, in accordance with HKFRS 9, continue to recognise the Receivables in its entirety and recognise a financial liability for the consideration received (i.e. HK\$2,125,000) on 1 July 2024. The financial asset (i.e. the Receivables) and the financial liability (i.e. the secured borrowing), in accordance with HKFRS 9, cannot be offset.

Answer 3

When preparing the Environmental, Social and Governance ("ESG") report under the listing rules of The Stock Exchange of Hong Kong Limited, the "comply or explain" provisions consist of disclosures encompassing two main ESG subject areas which are Environmental and Social. Each subject area has various aspects, and each aspect sets out the general disclosures and key performance indicators ("KPIs") for companies to report on to demonstrate how they have performed.

Employee-related issues are included under the subject area in relation to social (*Subject Area B*). The four aspects under this subject area that the Group can report on include:

Employment (Aspect B1)

The Group provides information on its policies and compliance with relevant laws and regulations that have a significant impact on the Group relating to compensation and dismissal, recruitment and promotion, working hours and rest periods, equal opportunity, diversity and anti-discrimination, and other benefits and welfare. Specifically in this case, the Group can disclose its gender diversity policies. Relevant KPIs include total workforce and employee turnover rate by gender, employment type (e.g., full- or part-time), age group and geographical region; and percentage of workforce by gender by age group, by geographical region.

Health and safety (Aspect B2)

As efficient and safe operations are crucial in this industry, the Group discloses information on the policies and compliance with relevant laws and regulations that have a significant impact on the Group relating to providing a safe working environment and protecting employees from occupational hazards. Relevant KPIs include number and rate of work-related fatalities occurred, and lost days due to work injury.

Development and training (Aspect B3)

As maintaining a skilled labour force is crucial for reducing occupational hazards and ensuring efficient and safe operations, the Group can disclose its policies on improving employees' knowledge and skills for discharging duties and work and description of training activities. Relevant KPIs include the percentage of employees trained by gender and employee category and the average training hours completed per employee by gender and employee category.

Labour standards (Aspect B4)

The Group discloses information on the policies and compliance with the relevant laws and regulations that have a significant impact on the Group relating to preventing child labour and preventing forced labour. The Group can describe its measures to review employment practices to avoid child and forced labour, and steps taken to eliminate such practices when discovered.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 4(a)

According to HKAS 16 *Property, Plant and Equipment* para. 24, in a transaction where an item of property, plant and equipment is acquired in exchange for a non-monetary asset or assets, the cost of such item of property, plant and equipment is measured at fair value unless (a) the exchange transaction lacks commercial substance or (b) the fair value of neither the asset received nor the asset given up is reliably measurable. If the acquired item is not measured at fair value, its cost is measured at the carrying amount of the asset given up.

CL initially recognised the cost of Plant B (the asset received) at the carrying amount of Plant A (the asset given up). Given that the fair value of both assets given up and received are reliably measurable, criterion (b) of HKAS 16 para.24 is not met. In this case, the accounting treatment of CL would only be correct if the transaction lacks commercial substance and therefore, meets criterion (a) under HKAS 16 para.24.

According to HKAS 16 para. 25, an exchange transaction has commercial substance if the configuration (risk, timing and amount) of the cash flows of the asset received differs from (a) the configuration of the cash flows of the asset transferred, or (b) the entity-specific value of the portion of the entity's operations affected by the transaction changes as a result of the exchange; and the difference in (a) or (b) is significant relative to the fair value of the assets exchanged.

The fact that the assets given up and received have the same fair value is not sufficient to conclude that HKAS 16 para. 25 is or is not met/ the exchange transaction does not have commercial substance. Instead, the commercial substance test looks at the extent to which future cash flows will be changed because of the exchange transaction.

CL expected that the exchange transaction would significantly enhance the performance and cash flows of CL's businesses. Consequently, it can be considered that the entity-specific value of the relevant operations would change significantly, relative to the fair value of the assets exchanged. In addition, CL expects that Plant B has a significantly different configuration of cash flows from Plant A given that they are located in different cities with different customer demands.

Accordingly, the transaction has commercial substance in accordance with HKAS 16 para.25, which leads to the conclusion that the exchange transaction does not meet either criterion (a) or criterion (b) of HKAS 16 para.24. CL should initially recognise Plant B at HK\$200 million, with a gain of HK\$20 million recognised in profit or loss resulting from the exchange transaction. Hence, I disagree with the accounting treatment of CL in respect of the exchange transaction initially recognised at carrying value of Plant A.

Answer 4(b)

According to HKFRS 13 *Fair Value Measurement* para. 27, a fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

According to HKFRS 13 para. 28, the highest and best use of a non-financial asset takes into account the use of the asset that is physically possible, legally permissible and financially feasible.

According to HKFRS 13 para.29, highest and best use is determined from the perspective of market participants, even if the entity intends a different use. However, an entity's current use of a non-financial asset is presumed to be its highest and best use unless market or other factors suggest that a different use by market participants would maximise the value of the asset.

In determining the fair value of Building C, the management of CL should determine the highest and best use from the perspective of market participants, instead of basing it on management's intention. In this case, the relevant government authority had already approved the change in permitted use of Building C as of 31 December 2024, which means that the redevelopment into commercial use is legally permissible. Although no redevelopment work commenced as of 31 December 2024, considering recent redevelopment projects being carried out in the nearby areas, it is reasonable to expect that market participants would take into account the redevelopment factor when pricing Building C. Hence, the highest and best use of Building C is not its current use, and the fair value of Building C would be understated if the redevelopment factor is not taken into consideration.

Hence, I disagree with Joe's comments in respect of the fair value measurement of Building C.

Answer 5(a)

According to HKAS 36 *Impairment of Assets* para.6, a cash-generating unit is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

According to HKAS 36 para.22, recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. If this is the case, recoverable amount is determined for the cash-generating unit to which the asset belongs, unless either:

- (a) the asset's fair value less costs of disposal is higher than its carrying amount; or
- (b) the asset's value in use can be estimated to be close to its fair value less costs of disposal and fair value less costs of disposal can be measured.

According to HKAS 36 para. 70, if an active market exists for the output produced by an asset or group of assets, that asset or group of assets shall be identified as a cash-generating unit, even if some or all of the output is used internally.

Also, in accordance with HKAS 36 para. 71, even if part or all of the output produced by an asset or a group of assets is used by other units of the entity (for example, products at an intermediate stage of a production process), this asset or group of assets forms a separate cash-generating unit if the entity could sell the output on an active market. This is because the asset or group of assets could generate cash inflows that would be largely independent of the cash inflows from other assets or groups of assets.

In this case, the fact that all Products A produced by Factory A are sold to Factory B does not affect the analysis of identifying cash-generating units. Product A produced by Factory A has an active market in both Country A and Country B. That means Factory A can generate largely independent cash inflows and hence, Factory A should be considered as a cash-generating unit. Factory B should be considered as another cash-generating unit as it generates largely independent cash inflows through selling Product B in country B.

Also, in accordance with HKAS 36 para. 71 (or para.70), in preparing budget/forecast for Factory A, the management should use the best estimate of future prices that could be achieved in arm's length transactions instead of transfer pricing. In this case, adjustment should be made on the internal transfer price as this price is off-market.

Hence, I disagree with the director's comments in respect of the identification of cash-generating units.

Answer 5(b)

In accordance with HKAS 36 para. 41, future cash outflows required to maintain the level of economic benefits from the asset in its current condition should be included in value in use. Hence, the asset's day-to-day servicing (including the replacement of component assets with shorter useful lives than the useful life of the or asset to which they belong) should be included in value in use calculation.

In accordance with HKAS 36 para. 44, future cash outflows that will improve or enhance the asset's performance and the related cash inflows expected to arise from such outflows should be excluded from value in use. Hence, both the future expenditure to be incurred for upgrading machineries to increase their production capacity and its related cash inflows expected to arise should be excluded from value in use calculation.

In accordance with HKAS 36 para. 45, future cash outflows or related cost savings (e.g. reductions in staff costs) or benefits expected to arise from a future restructuring to which an entity is not yet committed should be excluded from value in use calculation.

In this case, Victory was already committed to the restructuring plan of Factory C as of 31 December 2024. In accordance with HKAS 36 para. 43(b), estimates of future cash flows do not include cash outflows that relate to obligations that have been recognised as liabilities. Hence, the estimated cash outflows arising from restructuring should be excluded from value in use calculation given that such estimated cash outflows have already been included in a restructuring provision recognised in accordance with HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. Meanwhile, the cash inflows/ benefits or cost savings expected from the restructuring plan should be included in the Factory C's value in use calculation.

Answer 5(c)

In accordance with HKAS 36 para. 22, recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. If this is the case, recoverable amount is determined for the cash-generating unit ("CGU") to which the asset belongs, unless either: (a) the asset's fair value less costs of disposal is higher than its carrying amount; or (b) the asset's value in use can be estimated to be close to its fair value less costs of disposal and fair value less costs of disposal can be measured.

In the given fact pattern, the leasehold land, plant and machineries form a CGU, which means that on an individual asset basis each of them does not generate largely independent cash inflows. Therefore, the value in use of these assets is assessed at the CGU level.

For plant and machineries, since their respective fair values less costs of disposal are not less than their carrying amounts, no impairment loss is recognised based on the asset level impairment assessment.

For leasehold land, since its carrying amount is higher than its fair value less costs of disposal, impairment is further assessed at CGU level.

In accordance with HKAS 36 para. 105, in allocating an impairment loss, an entity shall not reduce the carrying amount of an asset below the highest of: (a) its fair value less costs of disposal (if measurable); (b) its value in use (if determinable); and (c) zero.

The recoverable amount for Factory C is taken to be the value in use of HK\$550,000,000, which is less than the carrying amount of HK\$600,000,000. Impairment loss of HK\$50,000,000 is recognised and allocated to the leasehold land.

Answer 6(a)

GL would need to operate Site K to clear all the backlog customer orders before disposal and beyond one year from 31 December 2024, which causes delay in timing of transfer of the Site K. This indicates that Site K was not available for immediate sale in its present condition as of 31 December 2024 according to HKFRS 5 *Non-Current Assets Held for Sale and Discontinued Operations* para. 7, irrespective of whether the sale agreement was signed at an earlier time. Hence, I disagree with Jerry's comments and GL should not classify Site K as held for sale on 31 December 2024.

Answer 6(b)

According to HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets* para.14, a provision shall be recognised when:

- (1) an entity has a present obligation (legal or constructive) as a result of a past event;
- (2) it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- (3) a reliable estimate can be made of the amount of the obligation.

Present obligation as a result of a past event: GL created a constructive obligation in December 2024 as the management of GL already approved and announced the closure plan which is sufficiently detailed, and the management had communicated the closure plan with the affected parties.

Probable outflow of resource embodying economic benefits to settle the obligation: it is probable that an outflow of resources would be required to implement the closure plan due to the constructive obligation formed.

Reliable estimate can be made of the amount of the obligation: the estimate of the expenditure to be incurred for the closure, had been finalised as of December 2024.

The above conditions indicate that GL should recognise restructuring provisions in the financial year 2024 for the closure of Site L.

Answer 6(c)

Date: Exam date
To: the directors of Gemini Limited
From: Aubrey Au

Subject: Accounting treatment for the compensation arrangement with the 70% of the employees of Manufacturing Site L ("Site L") for the year ended 31 December 2024 and period ended 31 March 2025

(1) Introduction

In December 2024, the directors approved the plan for closure of Site L by March 2025. The closure plan of Site L includes a plan to lay off 70% of the employees working in Site L. Based on the relevant terms of the arrangement (the "Compensation Arrangement"), if these employees continue their services till 31 March 2025, they will receive a payment of HK\$300,000 on 31 March 2025; if they leave any time before 31 March 2025, they will still receive a payment of HK\$180,000.

The purpose of this memo is to explain the accounting treatments for the Compensation Arrangement in respect of its classification, measurement and recognition, for the year ended 31 December 2024 and period ended 31 March 2025.

(2) Relevant accounting standards

According to HKAS 19 *Employee Benefits* para. 8, termination benefits are defined as employee benefits provided in exchange for the termination of an employee's employment as a result of either: (1) an entity's decision to terminate an employee's employment before the normal retirement date; or (2) an employee's decision to accept an offer of benefits in exchange for the termination of employment.

According to HKAS 19 para.8, short-term employee benefits are employee benefits (other than termination benefits) that are expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related service.

In accordance with HKAS 19 para.165, a liability and an expense should be recognised for termination benefits at the earlier of the following dates:

- when the entity can no longer withdraw the offer of those benefits; and
- when the entity recognises costs for a restructuring that is within the scope of HKAS 37 and involves the payment of termination benefits.

(3) Analysis of the classification, measurement and recognition of the Compensation Arrangement

Applying the above standards, GL should classify, measure and recognise the Compensation Arrangement as follows:

- (i) GL should recognise a termination benefit amounting to HK\$180,000 per employee. This is the amount that GL would have to pay for terminating the employment regardless of whether the employees stay and render service until closure of the Site L or they leave before the closure.

GL should also recognise the termination benefit expenses in December 2024 (or: "for the financial year ended 31 December 2024") and at the earlier of: when the layoff arrangement had been communicated with the affected employees and when the cost of restructuring provision is recognised.

- (ii) The incremental benefit that employees will receive if they provide services for the three-month period is HK\$120,000 per employee (HK\$300,000 – HK\$180,000). GL should account for such benefit as short-term employee benefits because GL expects to settle them at the time when the employees complete their services. The expense of HK\$120,000 per employee would be recognised over the service period ending 31 March 2025, taking into account the expectation of how many employees will eventually stay in service till 31 March 2025.

The above summarises the key accounting and financial considerations of the Compensation Arrangement. Please reach me if you would like to have any further details or have any enquiries.

* * * END OF EXAMINATION PAPER * * *